SECTION B – WRITTEN QUESTIONS **(Total: 80 marks)**

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 **(20 marks – approximately 36 minutes)**

As a leader in the industry, with passionate enthusiasm for medical cosmetology, Fit-and-Beauty Group ("the Group") established its first flagship aesthetic medical centre at Causeway Bay in the early 2000s. The mission and vision of the Group is to create modern life aesthetics by providing one-stop medical and healthcare services to realise a "healthy and beautiful life". The Group currently operates over 280 clinics/ centres, providing a full range of medical health and medical beauty services to both male and female customers of the high, mid-range and mass markets in the Greater Bay Area.

The ongoing pandemic has delivered a hard hit to the business, nevertheless, it is unlikely to shake the aspiration of consumers for beauty which is becoming more global and intertwined with individuals' sense of well-being.

While working females are happy to work at home without make-up, it is interesting to find that a definite [1]"lipstick effect" has once again been noticed during the pandemic outbreak since 2019. For instance, applying lipstick might be a quick way to appear professionally polised in a video conference. Since the pandemic, online sales of prestige-brand nail polish and nail care products in the United Kingdom and the United States have soared significantly indicating that nail care could be the "2019 pandemic lipstick effect". What is more, despite the fact that faces are covered in public with surgical masks, greater beauty emphasis is being placed on the eyes and eyebrows. In mainland China, sales revenue generated from eye-cosmetic products grew 150%, month over month, during the week of 18 February 2020.

More interestingly, dermatologists and beauty professionals have highlighted the opportunities mandatory quarantines grant those interested in cosmetic surgery: the imperative to stay indoors for a period of time makes this an ideal time to engage a skin care treatment and/ or plastic surgery that might otherwise take days/ weeks for recuperation in secrecy.

Based on the above, the Group is confident that there will be a pressing and sustainable demand for new all-rounded medical health and beauty services in the areas of skincare and plastic surgery, together with a tailor-made keep-fit program. The foresee demand lasting until the post-pandemic period. With the help of the well-crafted business plan which is critical to the success of any new venture, the Group plans to tap a significant amount of its funding to develop a new advanced technology in skincare and plastic surgery evolved from Korea. The Group anticipates that the first annual cash flow derived from the above mentioned new project to be HK$950,000, received three years from today. Subsequent annual cash flows will grow at 5% perpetually.

1 The term "lipstick index", was coined as an inverse economic indicator during the early 2000's recession , meaning that as the economy becomes worse, lipstick sales grow.

Required:

(a) Explain the linkages between management accounting and strategic management of an organisation in terms of developing corporate strategic plans during the business planning processes.

(3 marks)

(b) Explain how a business plan can support entrepreneurs in establishing a successful business.

(3 marks)

(c) (i) Outline the following TWO basic components of the business plan for the Group:

- **Executive summary of the Group's mission and vision; and**
- **Overview of the Group, with description of the products and services, and the marketing and sales activities for its target customers.**

(4 marks)

(ii) Evaluate the business idea (i.e. to develop the new all-rounded medical health and beauty services in the areas of skincare and plastic surgery, together with a tailor-made keep-fit program) to achieve the Group's objective of increasing sales revenues.

(6 marks)

(d) Compute the value of the above mentioned new project given the relevant discount rate is 12%.

(4 marks)

Question 2 **(16 marks – approximately 29 minutes)**

Peter, the Chief Executive Officer of Webster Corporation ("Webster"), just hired you as a Finance Manager to review the capital structure and estimate the cost of capital.

An extract from the statement of financial position of Webster as at 31 December 2021 is shown as below:

	HK$
Bonds (semi-annual 5% coupon rate, HK$1,000 par value, 10 years to maturity)	3,000,000
Preference shares (HK$100 per share, 3% dividend)	1,000,000
Ordinary shares (HK$8 per share)	1,680,000
	5,680,000

Market prices per bond/ share are HK$860 for bonds, HK$96 for preference shares, and HK$21 for ordinary shares respectively.

Dividends just paid for ordinary shares were HK$0.8 per share and dividends are expected to have a constant annual growth rate of 5% forever. Webster is in a 16.5% tax bracket.

Required:

(a) From the above financial information, the annual interest expense per bond is HK$50 and the market price per bond is HK$860. As such, Peter estimates that the cost of debt is equal to 5.81% (i.e. HK$50 / HK$860). Justify, without calculation, whether you agree or not with Peter's estimation.

(6 marks)

(b) Based on the above financial information, Peter concludes that the cost of ordinary shares should be 4% (i.e. HK$0.80 (1 + 5%) / HK$21) this year. Besides, the cost should be the same no matter whether using internal equity or external equity by issuing public shares. Justify, without calculation, whether you agree or not with Peter's conclusion.

(6 marks)

(c) One of Webster's subsidiaries, Dino Corporation, manufactures and supplies rare and refractory metals (such as titanium, molybdenum and rare earths) to the semi-conductor and aerospace industries. As demand for those precious metals fluctuates, the company will adopt a rare dividend policy. The company will not pay in every odd number of years (i.e. 1st, 3rd, 5th, 7th, 9th…), but will pay HK$4 dividend per share in every even number of years (i.e. 2nd, 4th, 6th, 8th , 10th…), in a way that the dividend patterns will be HK$0, HK$4, HK$0, HK$4, HK$0, HK$4 … onwards in the foreseeable future.

Given the required rate of return is 10%, compute the market price per share.

(4 marks)

Question 3 **(27 marks – approximately 49 minutes)**

King Supplies Incorporation is exploring the idea of engaging in one of two competing projects which would enable the company to overcome a production bottleneck and to accommodate the raising demand for its products. The two projects are Routine Renovation (RR) and Advanced Digital (AD).

With the help from the accounting and finance staff, the company's Finance Director prepared the following cash flows projections for both RR and AD projects over the relevant periods of time:

Year	Project RR	Project AD
0	(970,000)	(685,000)
1	450,900	225,000
2	387,000	257,000
3	220,500	275,000
4	296,000	190,500
5	-	100,500

Assets will be depreciated over their corresponding project's life span with the estimated residual values to be 10% of their costs. These two projects are regarded as equally risky and the required rate of return is 8%.

Required:

(a) **Calculate the accounting rate of return for each project, and justify which project should be accepted.**

(10 marks)

(b) **Compute the net present value for each project, and justify which project should be accepted by.**

(5 marks)

(c) **Based on the even cash flow distribution assumption, compute the payback period for each project, and justify which project should be accepted.**

(4 marks)

(d) **Describe the weaknesses of both accounting rate of return and payback period to make them unable to be served as the primary investment selection criteria.**

(8 marks)

<u>Question 4</u> **(17 marks – approximately 30 minutes)**

Little Ox Hotpot City ("Little Ox") operates a chain of hotpot restaurants. It has experienced skyrocketing growth since early 2000. By the end of 30 June 2021, Little Ox has become a world-renowned catering enterprise operating over hundreds of chained hotpot restaurants in the Greater Bay Area and Southeast Asian region.

Recently, to ride the momentum, Little Ox has developed and launched new products to suit trendy consumers, especially those who are young. In the second half of 2021, Little Ox launched more than ten new products that proved to be a hit among young customers. In the most recent board meeting, one of the non-executive directors reminded the board of the importance of steady growth in order to sustain the business's growth and to avoid problems arising from over-trading and over-leveraging.

The following financial information is extracted from the statement of profit or loss for the year ended 31 December 2021:

	HK$
Sales	4,507,000
Costs of goods sold	1,352,100
General and Administrative expenses	1,417,000
Depreciation	611,000
Interest expenses	294,000
Taxes	166,580
Dividends paid	220,000

The year-end balances of total assets and total equity in 2021 are HK$3,888,800 and HK$2,013,200 respectively.

<u>Required:</u>

(a) Compute the net income in 2021.

(2 marks)

(b) (i) Calculate the return on equity ("ROE") in 2021 using the DuPont equation.

(4 marks)

(ii) Explain how a company can make use of the DuPont analysis of ROE to evaluate the financial performance of a company.

(3 marks)

(c) Compute the internal growth rate in 2021.

(4 marks)

(d) Identify and explain, without computation, whether the internal growth rate should be higher or lower than the sustainable growth rate.

(4 marks)

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